BEFORE THE STATE OF NEW YORK
PUBLIC SERVICE COMMISSION

Proceeding on Motion of the Commission as to the Rates, Charges, Rules and Regulations of The Brooklyn Union Gas Company d/b/a National Grid NY For Gas Service	**)**	**Case 19-G-0309**
Proceeding on Motion of the Commission as to the Rates, Charges, Rules and Regulations of KeySpan Gas East Corporation d/b/a National Grid for Gas Service	**)**	**Case 19-G-0310**

VERIFIED PETITION FOR APPROVAL TO ESTABLISH ALTERNATIVE RECOVERY MECHANISMS

The Brooklyn Union Gas Company d/b/a National Grid NY ("KEDNY") and KeySpan Gas East Corporation d/b/a National Grid ("KEDLI") (collectively, "National Grid" or "Companies") hereby petition the New York Public Service Commission ("Commission") for approval to establish alternative recovery mechanisms as described herein, which will align the Commission-authorized regulatory accounting mechanisms in the Companies' current rate plans with Generally Accepted Accounting Principles ("GAAP").

As detailed below, the Commission approved the KEDNY and KEDLI current rate plans in its *Order Adopting Terms of Joint Proposal and Establishing Electric and Gas Rate Plans* issued August 12, 2021 ("Rate Order") in Cases 19-G-0309 and 19-G-0310.[1] The Rate Order allows the Companies to defer certain exogenous costs, which are defined to include, *inter alia*, all of the incremental effects on the Companies' costs, revenues, or revenue requirements associated with or

[1] Case 19-G-0309 and 19-G-0310, "Order Approving Joint Proposal, As Modified and Imposing Additional Requirements" (August 12, 2021).

caused by an individual instance of any exogenous accounting change; change in federal, state or local rates, laws, or regulations governing income, revenue sales, or franchise taxes; or legislative, court, or regulatory change that imposes new or modifies existing obligations or duties ("Exogenous Costs"). As described more fully below, the Companies recently filed notices to initiate deferral treatment for Exogenous Costs under this provision, specifically relating to unrecovered late payment fees and other fees directly resulting from customer protections enacted during the ongoing COVID-19 State of Emergency.[2] The Companies have further determined that, due to certain timing differences, these regulatory accounting deferrals cannot be fully reflected in their financial statements under GAAP. The Companies respectfully requests that the Commission issue an order establishing an appropriate cost recovery mechanism for these deferrals, which will resolve the timing difference, facilitate timely recovery of the relevant portions of Exogenous Costs and enable the Companies to reflect these deferrals in their respective GAAP financial statements. The Commission recently authorized a similar mechanism for another New York utility to address the same issue.[3]

I. Background

The KEDNY and KEDLI Rate Order authorizes the Companies to establish deferrals for Exogenous Costs caused by an individual instance in any one rate year[4] that exceeds the threshold of $4.1 million and $4.8 million for gas operations for KEDNY and KEDLI, respectively.[5] Upon reaching the Exogenous Costs threshold, the total impact of the Exogenous Costs as applicable to the

[2] Case 19-G-0309, KEDNY "Exogenous Costs Deferral – COVID-Related Unbilled Fees/Lost Revenues" (December 16, 2021), and Case 19-G-0310, KEDLI "Exogenous Costs Deferral – COVID-Related Unbilled Fees/Lost Revenues" (December 16, 2021) (collectively, the "Unbilled Fees/Lost Revenues Deferral Letters").
[3] Case 19-E-0065 *et al. Proceeding on Motion of the Commission as to the Rates, Charges, Rules and Regulations of Consolidated Edison Company of New York, Inc. for Electric Service*, "Order Authorizing Alternative Recovery Mechanism for Unbilled Fees" (November 18, 2022), p. 10 ("Consolidated Edison Order").
[4] Rate Years, One, Two and Three are the twelve months ending March 31, 2021, 2022 and 2023, respectively.
[5] Unbilled Fees/Lost Revenues Deferral Letters, p. 1.

Companies' regulated gas operations, will be deferred. To initiate the deferral, KEDNY and KEDLI are required to file a letter with the Commission setting forth the rationale for the deferral and its calculation.

As discussed in the Unbilled Fees/Lost Revenues Deferral Letters, in response to the COVID-19 pandemic, the Governor issued Executive Order No. 202 declaring a State of Emergency on March 7, 2020 (the "State of Emergency") and Executive Orders 202.6 and 202.8, characterized as "New York State on PAUSE" (the "PAUSE Order"), requiring suspension of non-essential work including utility field collections.[6] Further, on June 17, 2020, the Governor signed into law Chapters 108 and 126 of New York's Laws of 2020, known as the Parker-Mosley Law, which, among other things, amended Public Service Law ("PSL") §32 to require utility corporations to provide residential customers a right to enter into deferred payment agreements "without the requirement of a down payment, late fees, or penalties, as such is provided for in this article."[7] On May 11, 2021, the Governor signed into law further amendments to the PSL, referred to as the Parker-Richardson Act, expanding the protections to include qualified small businesses and extending the moratorium on termination of electricity and natural gas customers during and after the ongoing COVID-19 State of Emergency. Parker-Richardson also requires utilities to offer deferred payment agreements without down payments, late fees, or penalties to eligible residential and small commercial customers during the COVID-19 State of Emergency and for 180 days thereafter. The prohibition on down payments, late fees, and penalties in deferred payment agreements is applicable to all arrears incurred throughout the duration of the COVID-19 State of Emergency.[8] Finally, the Parker-Richardson Act provides that the PSL amendments shall not prohibit a utility from recovering lost or deferred revenues after either

[6] The PAUSE Order effectively caused the conditions that made the charging of late payment charges and related fees untenable.
[7] PSL § 32(7).
[8] *Id.*

the lifting or expiration of the COVID-19 State of Emergency or December 31, 2021, whichever is earlier.[9]

In response to the PAUSE Order and the amendments to the PSL discussed above, in March 2020, the Companies suspended field collections activities and stopped collecting the late payment fees and other fees associated with customer non-payment including, but not limited to, reconnection and no access fees (the "Unbilled Fees" or "Lost Revenues"). The Companies did not collect these fees through December 2021. Following the expiration of protections under the Parker-Richardson Act, the Companies resumed assessing late payment charges in January 2022. Other fees related to field collections (*e.g.*, reconnect fees) are expected to remain suspended pending resumption of associated field collection activities.

As described in the Companies' December 16, 2021, Unbilled Fees/Lost Revenues Deferral Letters, KEDNY and KEDLI have met the minimum thresholds for deferral under the respective rate plan provisions for Rate Year One and have deferred, for regulatory purposes, the Unbilled Fees for the period April 1, 2020 through March 31, 2021.

The deferral recognizes that the Companies' rates assume an anticipated level of late payment and other fees to offset the cost of providing service to customers, and that the Companies have recovered less than the forecasted amounts. As such, a fee deferral is essentially rate neutral to customers. The Unbilled Fees/Lost Revenues Deferral Letters also explained that KEDNY and KEDLI's deferrals of $12.840 million and $5.925 million, respectively, include offsets for related savings of $1.692 million and $0.089 million for KEDNY and KEDLI, respectively, consistent with DPS Staff guidance regarding COVID-19 deferrals. Since the filing of the Unbilled Fees/Lost Revenues Deferral Letters, the Companies have made minor adjustments to the amount of deferrals and offsets for related savings, as set forth in Exhibit One attached hereto.

[9] PSL § 32(9).

II. The Commission Should Approve KEDNY and KEDLI's Proposed Alternative Recovery Mechanisms

Although the Companies met the threshold to defer Unbilled Fees for Rate Year One and have recognized the deferral for regulatory accounting purposes, they are unable to do so under GAAP. Under GAAP, the Companies may only record the deferral on their income statements if the Companies will be recovering it within 24 months from the end of the annual period in which it was recognized.[10] The Companies have recognized the Rate Year 1 deferrals for ratemaking purposes. In order to record the deferral on their GAAP financial statements, the Companies would need to recover the deferral by the end of March 2024. However, the Companies current rate plans contemplate the Companies not filing for new rates prior to April 1, 2024, and thus, the Companies would not begin recovery until that time. As such, the Companies' current GAAP financial statements must omit the deferrals even though that is an unreasonable financial outcome and results in an unintended discrepancy with the Companies' respective regulatory accounting.[11]

To prevent GAAP from effectively undercutting the Commission-approved regulatory approach, KEDNY and KEDLI propose to establish a surcharge/surcredit recovery mechanism that permits full recovery/refund of any applicable deferred fees within GAAP's 24-month recovery timeframe. The proposed recovery mechanism will not only permit the Companies to recognize deferred fees in their GAAP financial statements, it will also modestly improve the Companies' cash

[10] *See* Accounting Standards Codification ("ASC") 980, Regulated Operations.

[11] The Companies may also need to defer future rate year fees. An immense, abrupt and unforeseen impact on the State economy and our customers began in March 2020 and continues almost two years later. This was recognized in a series of New York State laws, including the Parker-Mosley Act, Parker-Richardson Act, and legislation establishing a rental and utility assistance program for arrears accrued on or after March 2020. See Chapter 59 of the Laws of 2021. In addition, as can be seen by figures from the U.S. Bureau of Labor and Statistics, the change in New York's unemployment rate since that time is substantial. The unemployment rate in March 2020 was 3.9 percent. A month after the PAUSE Order, the unemployment rate was 16.2 percent. The latest available data, preliminary for November 2021, shows the unemployment rate has still not recovered beyond 6.6 percent. New York State unemployment data is available at https://www.bls.gov/regions/new-york-new-jersey/new_york.htm#eag.

flow and decrease the likelihood of further downgrades to the Companies' credit ratings.[12] At the same time, the Companies emphasize that this proposal is not for surcharge/surcredit recovery of all deferrals authorized under their rate plans' Exogenous Costs provisions. The Companies are requesting the alternative recovery mechanism only for the limited subset of deferrals (*i.e.,* related to the Unbilled Fees), that cannot currently be recognized on their financial statements under GAAP. Moreover, the Companies' request does not seek to alter the criteria for deferrals under their respective Exogenous Costs provisions.

For the first year of recovery beginning in July 2022 the Companies propose to recover the deferrals for the period encompassing Rate Year 1 (*i.e.,* April 1, 2020 through March 31, 2021) with a surcharge beginning in July 2022 and ending in June 2023. For the second year of the Unbilled Fees deferral, the Companies propose to recover (as a surcharge) or return (as a surcredit) the Unbilled Fees deferral for Rate Year 2 (*i.e.,* April 1, 2021 through March 31, 2022) with a surcharge/surcredit beginning in July 2023 and ending in June 2024. For the third year of Unbilled Fees deferral, the Companies propose to recover (as a surcharge) or return (as a surcredit) the Unbilled Fees deferral for Rate Year 3 (*i.e.,* April 1, 2022 through March 31, 2023) with a surcharge/surcredit beginning in July 2024 and ending in June 2025. In light of the ongoing COVID-19 pandemic, the Companies are open to other recovery/return periods that are within the GAAP recording timeframe.[13] Exhibit One attached hereto, also includes draft tariff language for the new surcharge mechanisms being proposed.

In addition to providing relief under the terms of the current rate plans, the Commission has acknowledged a further statutory basis for recovery of the Unbilled Fees deferrals. In its November

[12] In its June 2021 rating action downgrading the Companies' long-term issuer and senior unsecured debt ratings, Moody's stated that downward rating pressure could arise if the Companies' comparable cash flow from operations declined below certain stated levels.

[13] The second and third year recovery periods may be revised depending on the timing of the Companies' next rate case filings.

18, 2021, "Order Authorizing Alternative Recovery Mechanism for Unbilled Fees" in Case 19-E-0065, *et al.,* the Commission approved a similar surcharge/surcredit mechanism for Consolidated Edison Company of New York, Inc. In the Consolidated Edison Order, the Commission highlighted amendments to PSL §32(9), noting that the implementation of the provisions of PSL §32 "…shall not prohibit a utility or municipality from recovering lost or deferred revenues after the lifting or expiration of the COVID-19 State Disaster Declaration pursuant to such means for recovery as are provided in this chapter, and by means not inconsistent with any of the provisions of this article." Consistent with the Commission's findings in the Consolidated Edison Order, the amendments to PSL §32 provide further authority for the Companies to seek recovery of these lost and deferred revenues.

Finally, the Companies acknowledge that customers have been adversely impacted by the COVID-19 pandemic. Thus, the Companies propose to commit $1.2 million and $0.4 million of the deferred Unbilled Fees/Lost Revenues for KEDNY and KEDLI, respectively, toward addressing customer utility arrearages.

III. Attachments

Attached to and made a part of this Petition are the following exhibits:

- Exhibit One consists of 10 pages and sets forth the derivation of the proposed surcharge amounts for Rate Year One for KEDNY and KEDLI; and
- Exhibit Two sets forth the verification of James Molloy, the Company's Vice President, Regulatory & Pricing.

IV. Conclusion

For the foregoing reasons, KEDNY and KEDLI respectfully request that the Commission authorize the Companies to: (i) timely establish an alternative recovery mechanism for the fees

addressed herein, which will allow the Companies to properly recognize Commission-authorized deferrals in their financial statements, and (ii) direct the Companies file appropriate revisions to their respective tariffs to implement the surcharge/surcredit mechanism proposed herein.

The Brooklyn Union Gas Company d/b/a National Grid NY and

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Dated: February 7, 2022